

to ₹7.23 lakh crore in FY24. But Khara is not very happy with the market valuations. SBI has a price-to-book (PB) ratio, a measure of valuation for lending businesses, of 1.80 times, whereas the same ratio is nearly double for ICICI Bank, at 3.47 times. HDFC Bank enjoys a PB of 2.89 times, and Axis Bank has 2.15 times. “When we evaluate the price-to-book ratio, it must be viewed in the context of the inherent strengths of the entity. The bank has immense strength in terms

MBA from Delhi University, Khara started as a probationary officer in 1984. Those days, bank jobs were among the most coveted, apart from the civil services. Khara’s inclination was towards business and management.

Later, Khara was tasked with leading mergers and consolidation at the bank. SBI initiated the consolidation phase as far back as 2008, starting with the merger of Bank of Saurashtra. At the time, there was no guidance, no template—nothing to refer to. Despite

avoid similar challenges, ensuring a seamless process,” says Khara. This proved invaluable when he returned as an MD and was given the responsibility of merging all the associate banks, including Bharatiya Mahila Bank. “We focussed on making the merger smooth and painless while ensuring it created value for the bank,” says Khara.

His big break came in November 2013, when he was sent as MD and CEO of SBI Mutual Fund. When he took charge, the entity, which had been stuck at approximately ₹60,000 crore in assets under management (AUM) for nearly a decade, underwent a remarkable transformation. “Within three years, the AUM had grown to ₹1.4 lakh crore. Today, SBI Mutual Fund is far ahead of its competitors,” he says. Following this, Khara was brought back to SBI as MD of Corporate Banking & Subsidiaries in August 2016, where he initiated the synergies within the bank. Under Khara’s leadership, two leading subsidiaries, SBI Cards and SBI Life, also tapped the capital market via the IPO route.

Towards the fag end of his career, Khara was working on a new version of the bank’s digital banking platform, YONO, where it will be made more modular and faster in terms of processing.

Khara’s ambition is to see SBI generating ₹1 lakh crore in profit after tax. In FY24, it was about ₹80,000 crore. It is likely to be a reality soon.

What after retirement? “I am exploring various options to re-engage in an active role after completing the mandatory cooling-off period,” says Khara. The banking world will undoubtedly watch with great anticipation. **BT**

@anandadhikari

THE REPORT CARD

SBI SCORES ON ALL PARAMETERS UNDER KHARA

Parameters	Sept '20	Sept '24
Net NPA	1.59%	0.53%
Cost to income	55.16%	48.51%
CASA	45.39%	52.79%
EPS (in ₹)	20.33	81.49
ROE	8.94%	21.80%
NIM	3.07%	3.14%
ROA	0.44%	1.13%

NOTE NPA IS NON-PERFORMING ASSET; CASA IS CURRENT ACCOUNT AND SAVINGS ACCOUNT; EPS IS EARNINGS PER SHARE; ROE IS RETURN ON EQUITY; NIM IS NET INTEREST MARGIN; ROA IS RETURN ON ASSET **SOURCE** SBI

of its extensive network, which enables it to raise resources from every corner of the country,” reasons Khara.

Under Khara’s leadership, SBI maintained its position among the world’s Top 50 banks by assets. According to S&P Global Market Intelligence’s 2024 report, SBI ranked 47th globally, with HDFC Bank, India’s largest private sector bank, at 74th.

Khara’s journey at the bank started from Jaipur. With an

this, Khara and his team not only ensured a smooth merger but also created a comprehensive white paper to guide future mergers for other banks. “It was a unique and pioneering assignment,” says Khara.

The former SBI chairman studied previous mergers, including the PNB-New Bank of India merger, which involved a Supreme Court case, and the Air India-Indian Airlines merger. “By analysing their pitfalls, we devised strategies to